7 Publishing, a department store in Milwaukee introduced the first trading stamps in 1891. Merchants would issue stamps to customers as an incentive to shop at their store. The gummed stamps were saved inside booklets that, when filled, could be exchanged for merchandise.

In 1896 the Sperry and Hutchinson Company became the first trading stamp company to operate as an independent business with their S&H Green Stamps. They provided stamps and booklets to merchants and even opened their own store where the only type of payment accepted was their own S&H stamp. Other companies and merchants soon followed suit, reaping billions of dollars by the mid-twentieth century. Stores and service stations handed out either S&H or other trading stamps to entice customers. Names like Gold Bond, Tripe-S, King Korn, Blue Chip, and Top Value popped up on the scene. By playing on a housewife's weakness for "free things" (sound familiar, avid couponers?) trading stamp books were one of the hottest sales ideas of the postwar decade. According to a 1995 *Time* magazine article, by the mid-1950s, over 100,000 United States retailers were using some form of stamp program to boost sales, and the US Department of Commerce estimated that stamp savers were redeeming their books for more than one billion dollars in premiums every year.

Stores that didn't offer trading stamps couldn't even begin to compete with the lure of "free stuff." When they attempted to do so by slashing prices, they ran the risk of a lawsuit. Safeway chain was slapped with an antitrust suit by the US Justice Department in 1957, and charged with selling goods below cost in order to compete against local stores that offered trading stamps. Well, if you can't beat them, join them. No longer